



NEARLY 35 YEARS after India began liberalising its economy, opening the floodgates for foreign investors; gross foreign direct investment (FDI) flows in FY26 surged to an all-time high of \$94.52 billion.

This might have been seen as yet another affirmation of investor confidence in the Indian economy at a time of extreme volatility and geopolitical turmoil heightened by the West Asia crisis. However, net FDI—calculated by subtracting repatriations by foreign companies and overseas investments by Indian firms—recovered from just about \$1 billion in FY25 to \$7.7 billion. That is still quite low, and much below the FY23 figure of \$28 billion.

Meanwhile, India's financial markets have seen record outflows of foreign capital over the past two-and-a-half months, amid surging crude oil prices and a fast-depreciating Indian currency.

The combination of weak net FDI flows and waning FII interest in India is not altogether new, it's been happening for the last two financial years. However, the West Asia conflict has sparked new worries as weak capital inflows put further pressure on the current account deficit, which was already on an upward trajectory because of rising crude oil prices.

The exodus from Dalal Street had, in fact, begun in 2025, when foreign portfolio investors (FPIs) pulled out \$18.9 billion from India's equity market. That trend

MUTED INTEREST

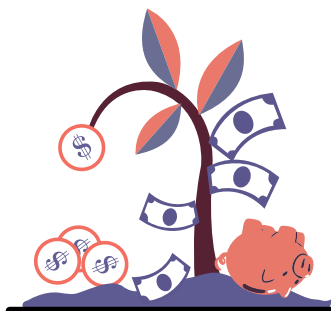
Foreign investments in India—both institutional and direct investments—have been falling in recent years

Various factors including capital gains tax, lack of AI play, regulatory hurdles, a falling rupee and stable returns elsewhere have made India less attractive

The West Asia war and increased FII outflows are leading to fresh challenges on the capital account as well as the current account for India

The end of West Asia war may not reverse the outflows and inflows could remain muted going forward

Experts call for more measures to improve India's credibility and ease of doing business for investors



seems to have gathered pace. Till May 22 this year, they have pulled out \$23.85 billion, significantly more than all of 2025. Overall, in FY26, foreign investments—both direct and portfolio investments—recorded an outflow of \$9.02 billion, as against an inflow of \$4.52 billion in FY25.

“India's external capital dependency has become more visible over the past two years with a sharp slowdown in net FDI flows and an increase in FPI outflows coinciding with a higher current account deficit on high global energy prices,” said a recent report by Kotak Institutional Equities. This is a big change from earlier, large capital inflows until FY24 offset India's high structural trade and current account deficits. “This vulnerability may persist without a structural fix to high CAD,” it warned.

Latest data from the Reserve Bank of India's Annual Report shows the problem in its entirety and why India's balance of payments deficit rose to \$30.8 billion in FY26 from about \$5 billion in FY25. India's capital account registered a surplus of a mere \$72 million in FY26 as net foreign investments shrank to \$1.27 billion. The capital account had a surplus of \$16.62 billion in FY25.

According to an analysis by Swayamsiddha Panda of Ambit Capital, FDI and FII flows, which averaged \$3.7 billion per month over FY15-24, sharply reversed to an outflow of \$0.5 billion since FY25. Further, while gross FDI inflows in January and February have averaged \$7.3 billion per month, outflows (disinvestments and outward FDI) have also been elevated, averaging \$5.7 billion per month.

A range of factors are at play and there seem to be no easy solutions to bring back foreign investor interest in India.